

common to find nested patterns like this. Sometimes you get one measured move right after another (sequential instead of nested), too.

Identification Guidelines

[Table 46.1](#) highlights identification characteristics for the measured move down chart pattern.

[Table 46.1](#) Identification Guidelines

Characteristic	Discussion
Appearance	Price declines in a stair-step manner, in three parts: the first leg decline, an upward retrace, and a resumption of the decline.
First leg	Usually begins from a new high. Price declines rapidly in a straight-line fashion. Avoid declines that curve (they are rounding turns, scallops, or saucers).
Corrective phase	Price can move horizontally but usually retraces a portion of the first leg before resuming the downtrend. If the corrective phase rises above the first leg high, look elsewhere.
Second leg	The <i>slope</i> of the first leg down often carries onto this leg. Both legs usually fit inside their own price channels.
Avoid	For sequential measured moves, use the first retrace and not later ones as they get progressively closer to the end of the trend. Make sure the measure rule does not predict price will fall below zero.
Flags, pennants	These patterns have a flagpole that is a strong move down as the first leg, and a corrective phase that lasts no longer than 3 weeks (which becomes a flag or pennant). In well-behaved patterns, the second leg continues in the same direction as the first leg.

Appearance. The pattern looks like a downward stair-step with one tread between the two drops. Price declines in the first leg, retraces a portion of